greeted everyone, but pointedly ignored me all through the evening, leaving me with an uncomfortable feeling.

Even though this public show of disagreement was a one-off, tension between the government and the Reserve Bank persisted even after that. One particularly contentious disagreement arose in the context of the mid-quarter policy of June 2013 when Chidambaram was of the view that the Reserve Bank should cut the CRR to stimulate bank lending. This was at a time when the rupee was under intense pressure because of the taper tantrums. Any monetary easing in this situation, no matter how carefully explained, was sure to accentuate the downward pressure on the rupee and undermine the credibility of our exchange rate defence. He called me up and we had our usual disagreement. Showing once again that he wouldn't give up so easily, he fielded his entire team of officers and advisers to canvass the government's case. I stayed with my decision, and as later events would prove, this was well advised as less than three weeks later, we had to actually tighten policy in order to arrest speculation on the rupee.

Why Do Governments and Central Banks Differ?

Maybe, it will be instructive to step back a little and reflect on why indeed governments and central banks have differences. They differ mainly because they see the growth–inflation balance differently, as I said earlier—and this has to do with differing horizons. Governments are typically swayed by short-term compulsions whereas central banks are expected to take a long-term perspective. Central banks can do so only if they are free of political compulsions.

Surely, the autonomy of a central bank on monetary policy cannot be boundless. After all, the source of that autonomy is the mandate granted by politicians. There is wide agreement that it is the government that should set the inflation target, but having set the target, leave it to the central bank to determine the strategy for achieving the target. In other words, a central bank cannot have goal independence; it has to defer to the inflation target set by the government. At the same time, a central bank should have